

Standing Orders and Workplace Discipline - The Foundation Track

Chapter F2.4 — From Zero: Certified Conditions of Service, Classification of Workmen, Misconduct, and the Domestic Inquiry

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NOTE · HOW TO USE THIS DOCUMENT

A short statute with an outsized importance for you personally. The Industrial Employment (Standing Orders) Act 1946 requires larger employers to reduce the conditions of employment to writing and have them certified, so that a worker knows in advance what his terms are and what conduct will get him dismissed. It carries the second of the two 100-to-300 threshold changes made by the Industrial Relations Code, the classification of workmen which is where fixed-term employment now sits, the subsistence allowance rates during suspension, and the procedure for a domestic inquiry. That last item is why this chapter matters more to an APFC than its four marks suggest - the domestic inquiry is the same natural-justice discipline that governs your own Section 7A proceedings, taught here in its clearest statutory form. Study time 4 hours across four sessions.

This is the FOUNDATION layer. Old-Act and Code provisions are given as pairs. Model Standing Orders content follows the Central Rules notified 8 May 2026.

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0. Why a Statute About Written Rules Was Necessary

The question to start with is why Parliament had to compel employers to write down the terms of employment. The answer explains the whole Act.

0.1 The problem

Before 1946, conditions of employment in most Indian industrial establishments were **not in writing**. The consequences were exactly what you would predict:

- 1 A worker did not know his own **terms** - what hours, what leave, what notice, what would count as misconduct
- 2 Because nothing was written, terms could be **changed at will**, and denied afterwards
- 3 Discipline was **arbitrary**. A worker could be dismissed for conduct he had never been told was prohibited
- 4 Disputes multiplied, because there was no agreed document to point to

WHY THIS EXISTS · THE PRINCIPLE BEHIND THE ACT - AND WHY YOU SHOULD RECOGNISE IT

The Act rests on a principle you already met in Chapter F1.3 under a different name: **a person must know in advance the rule he is expected to obey, and the consequence of breaking it.**

In constitutional language that is an aspect of the **rule of law** and of the **fairness required by Article 21** as read in *Maneka Gandhi*. In criminal law it is the reason **Article 20(1)** forbids retrospective offences. In labour law it produces the Standing Orders Act.

So the Act does three things: it makes conditions of service **written, certified** by a public authority, and therefore **uniform and enforceable**. A worker cannot be dismissed for a species of misconduct that does not appear in the certified standing orders - which is the single most practically important consequence of the statute.

STUDY SESSION · CHAPTER F2.4 - THE FOUR SESSIONS

- 1 **Session 1** - What standing orders are, applicability, and the certification procedure (Section 1)
- 2 **Session 2 - Classification of workmen**, including where fixed-term employment now sits (Section 2)
- 3 **Session 3** - Misconduct, punishment, suspension and **subsistence allowance** (Section 3)
- 4 **Session 4 - The domestic inquiry** - and why it is the model for your own Section 7A proceedings (Section 4)

Then **40 graded questions**. Budget **five sessions**, about **two and a half days**.

1. Session 1 - What Standing Orders Are, and How They Are Certified ★★★★★

1.1 Definition and applicability

Standing orders means rules relating to the matters set out in the **Schedule** to the Act - the conditions of employment of workmen in an industrial establishment.

	Standing Orders Act, 1946	Industrial Relations Code, 2020
Threshold	100 or more workmen employed, or employed on any day of the preceding twelve months	300 or more workers
Effect below the threshold	The Act does not apply, though a State may extend it	Below 300, standing orders are not required, though Model Standing Orders may still guide

Applicability - the second of the two 100-to-300 changes

MUST MASTER · THE TWO 100-TO-300 CHANGES - KEEP THEM STRAIGHT

The IR Code raised **two** separate thresholds from 100 to 300, and candidates confuse them.

- 1 **Standing orders** - required at **100** under the 1946 Act, **300** under the Code
- 2 **Chapter VB prior permission** for lay-off, retrenchment and closure - **100** under the Industrial Disputes Act 1947, **300** under the Code

They are **different subjects with the same pair of numbers**. If a question mentions **certified conditions of service or misconduct**, it is standing orders. If it mentions **permission to retrench or close**, it is Chapter VB. Both answers are 100 old, 300 new.

1.2 The certification procedure - a sequence with hard time limits

- 1 Within **six months** of the Act becoming applicable, the employer must submit **five copies** of the **draft standing orders** to the **Certifying Officer** - who is a Labour Commissioner or Regional Labour Commissioner, or an officer so appointed
- 2 The draft must cover **every matter** in the Schedule, and be, so far as practicable, **in conformity with the Model Standing Orders**
- 3 The Certifying Officer forwards a copy to the **trade union**, or where there is none, to the **workmen**, inviting **objections within fifteen days**
- 4 After hearing both sides, the Certifying Officer decides whether the draft is **certifiable**, and may **modify** it
- 5 **Certification within seven days** - the Officer must certify the standing orders and send authenticated copies to the parties within **seven days** of certification
- 6 **Appeal within thirty days** to the **appellate authority**, whose decision is final
- 7 **Coming into operation** - on the expiry of **thirty days** from the date on which authenticated copies are sent, or, where an appeal is filed, on the expiry of **seven days** from the date of the appellate order
- 8 **Modification** - standing orders, once certified, may **not be modified** until the expiry of **six months** from the date they last came into operation or were last modified, except by written agreement between the parties

MUST MASTER · WHAT THE CERTIFYING OFFICER MAY AND MAY NOT DECIDE - THE POINT OF SUBSTANCE

Originally the Certifying Officer could only check that the draft covered the Schedule and was in the prescribed form. He could **not** consider whether the terms were **fair**.

That changed by amendment in **1956**, and the position now is that the Certifying Officer and the appellate authority have power to **adjudicate upon the fairness or reasonableness** of the provisions of any standing order.

Why this matters: it converts certification from a clerical check into a **quasi-judicial** function. The Officer hears both sides, may modify the employer's draft, and must act fairly. Note the family resemblance to your own future role - a statutory officer, hearing two parties, with power to modify what one of them proposed, subject to appeal.

KNOW · MODEL STANDING ORDERS - THE DEFAULT THAT FILLS THE GAP

Until an employer's own standing orders are **certified**, the **Model Standing Orders** prescribed by the appropriate Government apply to the establishment. So there is never a vacuum: a worker always has a written set of terms, either certified or model.

The **Model Standing Orders notified under the 2026 Central Rules** are arranged in **three Schedules** by sector:

- 1 **Schedule A - mining**
- 2 **Schedule B - manufacturing**, that is factories and other manufacturing establishments
- 3 **Schedule C - services**

That three-way split is new and is a likely question, because it reflects the Code's recognition that a single set of rules cannot fit a mine, a factory and a software office. **Remember the order A-B-C as mining, manufacturing, services.**

KNOW · THE SCHEDULE - MATTERS STANDING ORDERS MUST COVER

Learn these as a list of headings, because a question may ask which is **not** among them.

- **Classification** of workmen - permanent, temporary, apprentice, probationer, badli, and now fixed-term
- **Manner of intimating** to workmen the periods and hours of work, holidays, pay-days and wage rates
- **Shift working**
- **Attendance** and late coming
- **Conditions of, and procedure in applying for, leave** and holidays
- Requirement to enter premises by **certain gates**, and liability to **search**
- **Closing and reopening** of sections of the establishment, and **temporary stoppages** of work, and the rights and liabilities of employer and workmen arising from them
- **Termination** of employment, and the **notice** to be given by employer and workmen
- **Suspension or dismissal for misconduct**, and acts or omissions constituting misconduct
- **Means of redress** for workmen against unfair treatment or wrongful exactions
- Any other matter prescribed

CHECK YOURSELF · SESSION 1

- 1 Define standing orders. What threshold applies under the 1946 Act, and under the Code?
- 2 Name the other provision whose threshold also moved from 100 to 300, and say how to tell the two apart in a question
- 3 Give the certification sequence with all its time limits: submission, objections, certification, appeal, coming into operation, modification
- 4 Can the Certifying Officer consider whether a provision is fair? Since when?
- 5 What applies before certification? Name the three Schedules of the 2026 Model Standing Orders
- 6 Name six matters the Schedule requires standing orders to cover

2. Session 2 - Classification of Workmen ★★★★★

This is where a great many labour law questions are quietly decided, because a worker's rights depend on his class.

2.1 The classes

Class	Who he is
Permanent	One who has been appointed to a permanent post and has completed a probationary period satisfactorily. Full rights - notice, benefits, protection against arbitrary termination
Probationer	One provisionally employed to fill a permanent vacancy, who has not completed the probation period - ordinarily three months . If a permanent workman is employed as a probationer in a new post, he may be reverted to his old post
Badli	One appointed in the post of a permanent workman or probationer who is temporarily absent . The word means "substitute". A badli ceases to be a badli and becomes a temporary or permanent workman on completing the prescribed period of continuous service
Temporary	One employed for work of an essentially temporary nature likely to be finished within a limited period
Casual	One whose employment is of a casual nature
Apprentice	A learner who is paid an allowance during the period of training
Fixed-term employee	NEW under the IR Code . One engaged on the basis of a written contract for a fixed period

Classification under the Model Standing Orders - the class determines the rights

MUST MASTER · FIXED-TERM EMPLOYMENT - THE MOST EXAMINABLE NEW CLASS

Fixed-term employment was introduced by the Codes and is heavily examined because it changes long-settled positions. Learn these five points:

- 1 It requires a **written contract** for a **fixed period**
- 2 The worker gets the **same hours, wages, allowances and statutory benefits as a permanent worker** doing the same work - **pro rata** where applicable. So it is not a device for paying less
- 3 **Gratuity after ONE year**, not the ordinary five. This is the single most examinable feature
- 4 On **mere expiry** of the term, there is **no retrenchment** - so no notice, and no retrenchment compensation. Expiry is not termination by the employer
- 5 Non-renewal of a fixed-term contract on its expiry was **already excluded** from the definition of retrenchment under the Industrial Disputes Act, so this is consistent with the older position

The policy argument, both ways. For: it gives employers lawful flexibility for genuinely time-bound work, and it is far better for workers than **contract labour**, because a fixed-term employee is on the employer's own rolls with full statutory benefits and a direct relationship. Against: it may be used to keep workers on rolling short contracts indefinitely, never reaching permanency.

And note the safeguard that already exists from Chapter F2.3: keeping workers as casuals or temporaries **for years with the object of depriving them of permanent status** is an **unfair labour practice** under the Fifth Schedule. That provision is the check on abuse of the fixed-term route.

BEGINNER MISTAKE · BADLI IS A SUBSTITUTE, NOT A CASUAL - AND THE DISTINCTION IS EXAMINED

Beginners treat badli and casual as synonyms. They are different:

- 1 A **badli** stands in for a **specific absent permanent workman or probationer**. His work is permanent in nature; only his tenure is contingent on someone else's absence
- 2 A **casual** is engaged for work that is **itself casual** in nature

The consequence: a badli **converts** into a temporary or permanent workman once he completes the prescribed period of continuous service, because the underlying work was never casual. A casual does not convert on the same footing. If a question describes a worker substituting for an absent permanent employee, the answer is **badli**.

CHECK YOURSELF · SESSION 2

- 1 Name the seven classes of workmen and define each in a phrase
- 2 What is the ordinary probation period? What happens if a permanent workman on probation in a new post fails?
- 3 Distinguish badli from casual, and say what happens to a badli over time
- 4 Give the five points on fixed-term employment. Which is the most examinable?
- 5 Is retrenchment compensation payable on the expiry of a fixed-term contract? Why?
- 6 What provision guards against abuse of temporary status?

3. Session 3 - Misconduct, Punishment and Suspension ★★★★★

3.1 Misconduct

The Model Standing Orders enumerate acts and omissions constituting **misconduct**. The list matters because - and this is the practical heart of the Act - **a worker may not be punished for misconduct not specified in the standing orders.**

Commonly enumerated:

- **Wilful insubordination** or disobedience of a lawful and reasonable order
- **Theft, fraud or dishonesty** in connection with the employer's business or property
- **Wilful damage** to or loss of the employer's goods or property
- Taking or giving **bribes** or any illegal gratification
- **Habitual absence** without leave, or absence without leave for more than the prescribed number of days
- **Habitual late attendance**
- **Habitual breach** of any law applicable to the establishment
- **Riotous or disorderly behaviour** during working hours, or any act subversive of discipline
- **Habitual negligence** or neglect of work
- **Striking work** in contravention of any law, or **inciting** others to do so
- **Sexual harassment**

IN PLAIN ENGLISH · WHY 'HABITUAL' APPEARS SO OFTEN

Notice how many entries carry the word **habitual** - habitual absence, habitual late attendance, habitual negligence, habitual breach.

The reason is proportionality. A single instance of lateness is a lapse; a pattern is a refusal to accept the discipline of employment. The Act reserves the graver charge for the pattern.

The exam and practical consequence: where a charge requires the conduct to be **habitual**, a **single instance will not sustain a dismissal**. A charge sheet alleging one late arrival as "habitual late attendance" is defective, and an order founded on it is liable to be set aside. This is exactly the sort of precision you will need in framing findings in your own inquiries.

3.2 Punishments

Punishments are conventionally graded, and the grading is examinable:

- 1 **Minor** - warning or censure, fine as permitted by the Payment of Wages Act, withholding of increment, suspension for a short period
- 2 **Major** - **demotion**, and **discharge or dismissal**

A dismissal must ordinarily be preceded by a **domestic inquiry**, which is Session 4.

3.3 Suspension pending inquiry, and subsistence allowance

Where a workman is **suspended pending inquiry** into alleged misconduct, he is not working and is not being paid his wages - so the statute requires a **subsistence allowance**.

MUST MASTER · SUBSISTENCE ALLOWANCE - THE TWO RATES AND THE CONDITION ATTACHED

Under **Section 10A** of the Standing Orders Act, and carried forward by the IR Code:

- 1 For the **first ninety days** of suspension - **fifty per cent** of the wages the workman would have received
- 2 For the **remaining period** of suspension, beyond ninety days - **seventy-five per cent** of the wages, **provided the delay in completing the inquiry is not directly attributable to the conduct of the workman**

Learn it as 50 for 90, then 75 - unless the worker caused the delay.

Understand why the rate rises rather than falls. The increase is a pressure on the **employer** to finish the inquiry promptly. If the employer drags an inquiry out, his cost goes up. But if the **workman** is the cause of the delay - by not attending, by seeking repeated adjournments - the enhanced rate is withheld, so he cannot profit from his own obstruction.

And note what suspension pending inquiry is not. It is **not a punishment**. It is a holding measure while the charge is investigated. Suspension **as a punishment** is a different thing, imposed after an inquiry finds misconduct proved. A question may test that distinction.

CHECK YOURSELF · SESSION 3

- 1 Why may a worker not be punished for misconduct not listed in the standing orders?
- 2 Name six enumerated acts of misconduct
- 3 Why does the word "habitual" recur, and what follows for a charge based on a single instance?
- 4 Distinguish minor from major punishments
- 5 Give the two subsistence allowance rates, the period each applies to, and the condition on the higher rate
- 6 Why does the rate rise rather than fall? Distinguish suspension pending inquiry from suspension as punishment

4. Session 4 - The Domestic Inquiry ★★★★★

Read this section as training for your own job. The domestic inquiry is the clearest statutory model of the procedure a Section 7A determination must follow.

4.1 The six steps

Step	Stage	What it requires, and why
1	Charge sheet	A written statement of the specific allegations, with dates, times and particulars , and the standing order said to be breached. Vague charges are fatal - a worker cannot answer "you have been generally negligent"
2	Explanation	A reasonable opportunity to submit a written explanation, within a stated time. If the explanation is satisfactory, the matter ends
3	Inquiry	An inquiry officer who is not the complainant and has no personal interest. The workman may be present , may cross-examine the employer's witnesses, may lead his own evidence , and may be assisted as the standing orders permit
4	Findings	A reasoned report recording what is proved and on what evidence. Findings must rest on evidence on record , not suspicion
5	Punishment	The disciplinary authority considers the findings and the workman's record, and imposes a proportionate punishment. A punishment grossly disproportionate to the misconduct can be interfered with
6	Appeal	A means of redress - the Schedule expressly requires standing orders to provide for redress against unfair treatment

The domestic inquiry - each step exists to satisfy a requirement of natural justice

MUST MASTER · MAP THE SIX STEPS ONTO NATURAL JUSTICE - AND THEN ONTO SECTION 7A

Every step above is one of the two rules you learned in Chapter F1.3.

Audi alteram partem - hear the other side: the charge sheet (step 1, he must know what is alleged), the explanation (step 2, he must be able to answer), presence and cross-examination (step 3, he must be able to test the evidence against him), and the reasoned findings (step 4, he must be able to see why he lost).

Nemo iudex in causa sua - no one may judge his own cause: the requirement that the inquiry officer not be the complainant (step 3).

Now the transfer to your own work. A **Section 7A** inquiry to determine an employer's dues has precisely the same skeleton:

- 1 **Notice** to the employer specifying the period and the basis of the proposed determination - the counterpart of the **charge sheet**. A notice that does not say what is alleged is defective in the same way
- 2 A **reasonable opportunity** to reply and produce records - the counterpart of the **explanation**
- 3 **Hearing**, with the employer able to inspect the material relied on and to be heard - the counterpart of the **inquiry**
- 4 A **reasoned order** setting out the wages taken, the definition applied, the computation and the conclusion - the counterpart of the **findings**. This is the step most often failed in practice
- 5 **Appeal** under **Section 7-I** to the **CGIT acting as the EPF Appellate Tribunal**, and thereafter the High Court under **Article 226** - the counterpart of **redress**

So this chapter is not merely four marks of labour law. It is the procedural template of your own office, and it is the clearest place in the manual to learn it, because here the statute spells out each step instead of leaving it to case law.

WORKED EXAMPLE · TWO DEFECTIVE ORDERS, AND WHY EACH FAILS

Order A. A workman is dismissed for "loss of confidence". No charge sheet was issued; he was told orally that his services were terminated.

Defects: no **specific charge** in writing, so he could not know what he was answering; no **opportunity to explain**; no **inquiry**; and "loss of confidence" is not an enumerated **misconduct** in the standing orders. The dismissal fails on four grounds, any one of which would be sufficient.

Order B. An APFC issues a Section 7A order stating: "On examination of records, the establishment is directed to pay Rs 8,42,600 as dues for 2024-25." The employer was heard.

Defect: the employer **was** heard, so *audi alteram partem* is satisfied. But the order gives **no reasons** - it does not say which employees were covered, what remuneration was taken, whether the 50 per cent wages rule was applied, or how the figure was arrived at. An unreasoned order is **arbitrary under Article 14** and is liable to be quashed by **certiorari**.

The lesson from the pair: hearing the party is necessary but **not sufficient**. You must also **show your working**. That is the single most useful sentence in this chapter for your future career.

CHECK YOURSELF · SESSION 4

- 1 Name the six steps of a domestic inquiry
- 2 Which two natural justice rules do the steps implement, and which step implements the second?
- 3 Why must a charge sheet be specific?
- 4 Map each of the six steps onto its Section 7A counterpart
- 5 Order A dismissed a worker for "loss of confidence" with no charge sheet. List its defects
- 6 Why is a reasoned order necessary even where the party has been heard? Which Article and which writ are engaged?

5. Graded Practice - 40 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Industrial Employment (Standing Orders) Act was enacted in

(a) 1926 (b) 1946 (c) 1947 (d) 1948

Q. 2. Under the 1946 Act, standing orders are required in an industrial establishment employing

(a) 20 or more workmen (b) 50 or more workmen (c) 100 or more workmen (d) 300 or more workmen

Q. 3. Under the Industrial Relations Code, 2020, the threshold for standing orders is

(a) 100 workers (b) 200 workers (c) 300 workers (d) 500 workers

Q. 4. The employer must submit draft standing orders within

(a) three months of the Act becoming applicable (b) six months of the Act becoming applicable (c) one year of the Act becoming applicable (d) thirty days of the Act becoming applicable

Q. 5. Objections to draft standing orders may be submitted within

(a) seven days (b) fifteen days (c) thirty days (d) sixty days

Q. 6. An appeal against certification lies within

(a) fifteen days (b) thirty days (c) sixty days (d) ninety days

Q. 7. Certified standing orders come into operation on the expiry of

(a) seven days from authentication (b) fifteen days from authentication (c) thirty days from the date authenticated copies are sent (d) immediately on certification

Q. 8. Certified standing orders may not be modified until the expiry of

(a) three months (b) six months (c) one year (d) two years

Q. 9. Subsistence allowance for the first ninety days of suspension is

(a) 25 per cent of wages (b) 50 per cent of wages (c) 75 per cent of wages (d) 100 per cent of wages

Q. 10. Beyond ninety days of suspension, subsistence allowance is

(a) 50 per cent of wages (b) 60 per cent of wages (c) 75 per cent of wages (d) 100 per cent of wages

Q. 11. A workman appointed in the post of a permanent workman who is temporarily absent is a

(a) casual workman (b) temporary workman (c) badli workman (d) probationer

Q. 12. The ordinary period of probation under the Model Standing Orders is

(a) one month (b) three months (c) six months (d) one year

Q. 13. A fixed-term employee becomes entitled to gratuity after

(a) one year (b) three years (c) five years (d) no period, gratuity being inapplicable

Q. 14. Until an employer's standing orders are certified, what applies?

(a) Nothing - there is no written condition of service (b) The Model Standing Orders (c) The Industrial Disputes Act (d) The employer's own uncertified draft

Q. 15. The Model Standing Orders notified under the 2026 Central Rules are arranged in Schedules covering

(a) agriculture, industry and services (b) mining, manufacturing and services (c) factories, mines and plantations (d) organised, unorganised and gig sectors

5.2 Level 2 - Understanding

Q. 16. The principal object of the Standing Orders Act is to

(a) enable employers to dismiss workmen more easily (b) require conditions of employment to be written, certified and therefore knowable in advance and enforceable (c) fix minimum wages (d) provide for the registration of trade unions

Q. 17. A worker is dismissed for conduct which is not listed as misconduct in the certified standing orders. The dismissal is

(a) valid, since the employer has managerial discretion (b) invalid, because a worker may not be punished for misconduct not specified in the standing orders (c) valid if the employer records reasons (d) valid if the worker was given a hearing

Q. 18. Since the amendment of 1956, the Certifying Officer

(a) may only verify that the draft covers the Schedule (b) may adjudicate upon the fairness or reasonableness of the provisions of a standing order (c) must accept the employer's draft as submitted (d) has no power to modify the draft

Q. 19. Which one of the following is not among the matters the Schedule requires standing orders to cover?

(a) Classification of workmen (b) Acts constituting misconduct (c) The rate of minimum wages payable (d) Means of redress against unfair treatment

Q. 20. A badli workman differs from a casual workman in that

(a) a badli is paid less (b) a badli substitutes for a specific absent permanent workman or probationer, whereas a casual is engaged for work that is itself casual in nature (c) a badli cannot be dismissed (d) a casual converts to permanent status but a badli does not

Q. 21. On the mere expiry of a fixed-term contract

(a) retrenchment compensation is payable (b) three months' notice is required (c) there is no retrenchment, so no notice or retrenchment compensation arises (d) the worker automatically becomes permanent

Q. 22. A fixed-term employee is entitled to

(a) lower wages than a permanent worker doing the same work (b) the same hours, wages, allowances and statutory benefits as a permanent worker, on a pro rata basis where applicable (c) no statutory benefits (d) benefits only after five years

Q. 23. Why does subsistence allowance rise from 50 to 75 per cent after ninety days?

(a) To compensate the workman for the finding of misconduct (b) To create pressure on the employer to complete the inquiry promptly (c) Because wages rise annually (d) Because the workman is presumed innocent after ninety days

Q. 24. The enhanced rate of subsistence allowance is withheld where

(a) the charge is serious (b) the employer requests it (c) the delay in completing the inquiry is directly attributable to the conduct of the workman (d) the workman has less than one year's service

Q. 25. Suspension pending inquiry is

(a) a punishment for misconduct (b) a holding measure while the charge is investigated, and not itself a punishment (c) equivalent to dismissal (d) permitted only after a finding of guilt

Q. 26. A charge sheet alleging "habitual late attendance" supported by evidence of a single instance of lateness is

(a) sufficient to sustain dismissal (b) defective, because the charge requires a pattern and a single instance will not sustain it (c) sufficient if the worker admits the instance (d) sufficient if the standing orders list lateness as misconduct

Q. 27. The requirement that the inquiry officer must not be the complainant gives effect to

(a) audi alteram partem (b) nemo judex in causa sua (c) res judicata (d) the doctrine of severability

Q. 28. A punishment grossly disproportionate to the misconduct proved

(a) cannot be interfered with, being a managerial prerogative (b) may be interfered with (c) is valid if an inquiry was held (d) is valid if the standing orders permit dismissal

Q. 29. Which threshold pair belongs to Chapter VB of the Industrial Disputes Act rather than to standing orders?

(a) 100 old and 300 new, for certified conditions of service (b) 100 old and 300 new, for prior permission to lay off, retrench or close (c) 20 and 10, for a Grievance Redressal Committee (d) 50, for lay-off compensation

Q. 30. A charge sheet must be specific because

(a) the statute prescribes a form (b) a worker cannot answer a vague allegation, so specificity is a requirement of the opportunity to be heard (c) the Certifying Officer requires it (d) it must be published

5.3 Level 3 - Recruitment Test standard**Q. 31. Which one of the following statements is not correct?**

(a) Standing orders are required at 100 or more workmen under the 1946 Act and 300 or more workers under the IR Code (b) Until certification, the Model Standing Orders apply (c) The Certifying Officer may not consider whether a provision is fair or reasonable (d) Modification is barred for six months from the date the standing orders last came into operation

Q. 32. Match List-I with List-II and select the correct answer using the code below:

List-I (Class of workman)	List-II (Description)
A. Badli	1. Provisionally employed to fill a permanent vacancy
B. Probationer	2. Engaged under a written contract for a fixed period
C. Fixed-term employee	3. Appointed in the post of a permanent workman temporarily absent
D. Apprentice	4. A learner paid an allowance during training

(a) A-3 B-1 C-2 D-4 (b) A-1 B-3 C-2 D-4 (c) A-3 B-2 C-1 D-4 (d) A-3 B-1 C-4 D-2

Q. 33. Consider the following statements about fixed-term employment:

- 1 It requires a written contract for a fixed period.
- 2 A fixed-term employee is entitled to gratuity after one year.
- 3 On expiry of the term, retrenchment compensation is payable.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 34. A workman is suspended pending inquiry on 1 January. The inquiry concludes on 30 June, the delay being entirely due to the employer's failure to hold sittings. The workman's subsistence allowance is

(a) 50 per cent throughout (b) 75 per cent throughout (c) 50 per cent for the first ninety days and 75 per cent thereafter (d) 100 per cent after ninety days

Q. 35. Consider the following statements about the domestic inquiry:

- 1 The charge sheet must state specific allegations with particulars.
- 2 The workman must be permitted to cross-examine the employer's witnesses.
- 3 Findings must rest on evidence on record.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 36. An APFC passes a Section 7A order after hearing the employer, but the order states only the total amount payable without disclosing the employees covered, the wages taken or the computation. The order is

(a) valid, because the employer was heard (b) liable to be quashed as arbitrary under Article 14 for want of reasons, notwithstanding the hearing (c) valid, because Section 7A prescribes no form (d) valid if the employer does not appeal within sixty days

Q. 37. Which one of the following pairs is not correctly matched?

(a) Subsistence allowance, first ninety days - 50 per cent (b) Appeal against certification - thirty days (c) Objections to draft standing orders - fifteen days (d) Certification by the Certifying Officer - thirty days

Q. 38. Arrange the following steps of a domestic inquiry in correct order:

- 1 Findings
- 2 Charge sheet
- 3 Punishment
- 4 Explanation
- 5 Inquiry

(a) 2, 4, 5, 1, 3 (b) 2, 5, 4, 1, 3 (c) 4, 2, 5, 1, 3 (d) 2, 4, 1, 5, 3

Q. 39. A workman is dismissed for "loss of confidence", no charge sheet having been issued and no inquiry held. Which one of the following most completely states the position?

(a) The dismissal is valid, loss of confidence being a recognised ground (b) The dismissal is invalid, since there was no specific written charge, no opportunity to explain, no inquiry, and the ground is not enumerated misconduct (c) The dismissal is invalid only because no inquiry was held (d) The dismissal is valid if the workman was paid notice pay

Q. 40. The strongest reason a Provident Fund officer should study the domestic inquiry procedure is that

(a) an APFC conducts domestic inquiries into workmen's misconduct (b) it is the clearest statutory model of the natural justice procedure that a Section 7A determination must itself satisfy (c) standing orders determine provident fund liability (d) it is required by Article 24

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	b	1946 - part of the great post-war wave, just before the Industrial Disputes Act 1947
2	c	100 or more , including on any day of the preceding twelve months
3	c	300 or more - the second of the two 100-to-300 changes
4	b	Six months of the Act becoming applicable, in five copies
5	b	Fifteen days for the union or the workmen to object
6	b	Thirty days to the appellate authority, whose decision is final
7	c	Thirty days from the date authenticated copies are sent; or seven days from the appellate order where an appeal was filed
8	b	Six months from the date they last came into operation or were last modified, except by written agreement
9	b	50 per cent for the first ninety days
10	c	75 per cent thereafter, if the delay is not attributable to the workman
11	c	Badli - the word means substitute
12	b	Three months
13	a	One year - a major departure from the ordinary five-year rule, and the most examinable feature of fixed-term employment
14	b	The Model Standing Orders , so there is never a vacuum
15	b	Schedule A mining, Schedule B manufacturing, Schedule C services

6.2 Level 2

Q	Ans	Explanation
16	b	Written, certified , knowable in advance and enforceable. The Act's premise is that a person must know the rule before being held to it
17	b	Invalid . This is the single most important practical consequence of the statute
18	b	Since 1956 the Officer and the appellate authority may adjudicate on fairness and reasonableness - which makes certification a quasi-judicial function
19	c	Minimum wages are fixed under the Minimum Wages Act, now the Code on Wages - not by standing orders. The other three are Schedule matters
20	b	A badli substitutes for a specific absent permanent workman or probationer; a casual does work that is itself casual. Hence a badli converts with continuous service, which makes (d) the reverse of the truth
21	c	No retrenchment on mere expiry , so no notice and no retrenchment compensation. Non-renewal on expiry was already excluded from the definition of retrenchment
22	b	Parity with permanent workers , pro rata where applicable. Fixed-term is a flexibility device, not a lower-pay device
23	b	To pressure the employer to finish promptly - his cost rises with delay
24	c	Where the workman caused the delay, so that he cannot profit from his own obstruction

Q	Ans	Explanation
25	b	A holding measure , not a punishment. Suspension as punishment is imposed only after a finding
26	b	Defective - "habitual" requires a pattern . A single instance will not sustain it, and admission of the single instance does not cure the mismatch
27	b	Nemo judex in causa sua - no one may judge his own cause. The other steps implement <i>audi alteram partem</i>
28	b	May be interfered with . Proportionality is reviewable
29	b	Prior permission to lay off, retrench or close is Chapter VB. Certified conditions of service is standing orders. Same numbers, different subjects
30	b	Specificity is an aspect of the opportunity to be heard - a vague allegation cannot be answered

6.3 Level 3

Q	Ans	Explanation
31	c	Since the 1956 amendment the Certifying Officer may adjudicate on fairness and reasonableness. The other three statements are correct
32	a	A-3 badli substitutes for an absent permanent workman; B-1 probationer provisionally fills a permanent vacancy; C-2 fixed-term under written contract; D-4 apprentice is a learner on an allowance
33	a	1 and 2 only . Statement 3 is wrong - on mere expiry there is no retrenchment , hence no retrenchment compensation
34	c	50 per cent for the first ninety days, 75 per cent thereafter . The higher rate applies because the delay was the employer's , not the workman's. Note the rate does not become 75 per cent retrospectively for the whole period
35	d	All three correct - specific charge, right of cross-examination, and findings resting on evidence on record
36	b	Liable to be quashed for want of reasons . Hearing the party satisfies <i>audi alteram partem</i> but an unreasoned order is arbitrary under Article 14 . Hearing is necessary but not sufficient - you must show your working
37	d	Certification must be completed and authenticated copies sent within SEVEN days , not thirty. The thirty-day period is the appeal period and the period before the orders come into operation
38	a	Charge sheet, explanation, inquiry, findings, punishment - then appeal
39	b	Four independent defects - no specific written charge, no opportunity to explain, no inquiry, and "loss of confidence" is not enumerated misconduct. (c) understates the position by naming only one
40	b	Because the domestic inquiry is the clearest statutory model of the natural justice procedure that a Section 7A determination must satisfy - notice, opportunity, hearing, reasoned order, appeal. (a) is factually wrong; an APFC does not conduct disciplinary inquiries into workmen

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F2.4 - STANDING ORDERS AND DISCIPLINE

THE PRINCIPLE a person must know **in advance** the rule he must obey and the consequence of breaking it · same idea as **Art 20(1)** retrospective offences and **Art 21** fair procedure · the Act makes conditions of service **WRITTEN, CERTIFIED, ENFORCEABLE** · **a worker cannot be punished for misconduct NOT listed in the standing orders**

ACT Industrial Employment (Standing Orders) Act **1946** · threshold **100 or more** workmen · **IR CODE 300** · *the OTHER 100-to-300 change is Chapter VB prior permission - different subject, same numbers*

CERTIFICATION SEQUENCE draft in **5 copies within 6 MONTHS** to the **Certifying Officer** · objections within **15 DAYS** · certify and send authenticated copies within **7 DAYS** · appeal within **30 DAYS**, appellate decision **final** · comes into operation **30 DAYS** from despatch of authenticated copies, or **7 DAYS** from the appellate order · **no modification for 6 MONTHS** except by written agreement

FAIRNESS since the **1956 amendment** the Certifying Officer and appellate authority **MAY adjudicate on fairness and reasonableness** - so certification is **quasi-judicial**

MODEL STANDING ORDERS apply **until certification**, so there is never a vacuum · **2026 Rules: Schedule A MINING · Schedule B MANUFACTURING · Schedule C SERVICES**

SCHEDULE MATTERS classification · intimation of hours, holidays, pay-days, wage rates · shift working · attendance and late coming · leave · entry by gates and search · closing, reopening and temporary stoppages · **termination and notice** · **suspension or dismissal for misconduct and the acts constituting it** · **means of redress** · **NOT minimum wages**

SEVEN CLASSES permanent · probationer (**3 months**, revertible) · **BADLI** = substitute for a specific absent permanent workman or probationer, **converts** with continuous service · **temporary** (work temporary in nature) · **casual** (work casual in nature) · **apprentice** (learner on allowance) ·

FIXED-TERM (new)

FIXED-TERM EMPLOYMENT written contract, fixed period · **same wages, hours, allowances and statutory benefits as a permanent worker, pro rata** · **GRATUITY AFTER ONE YEAR** · **no retrenchment on mere expiry**, so **no notice and no retrenchment compensation** · abuse checked by the **Fifth Schedule unfair labour practice** of keeping workers as casuals for years to deny permanency

MISCONDUCT wilful insubordination · theft, fraud, dishonesty · wilful damage · bribes · **habitual** absence, **habitual** late attendance, **habitual** negligence, **habitual** breach of law · riotous behaviour · illegal striking or inciting it · sexual harassment · **"HABITUAL" MEANS A SINGLE INSTANCE WILL NOT SUSTAIN THE CHARGE**

PUNISHMENTS minor - warning, censure, fine, withholding increment, short suspension · **major - demotion, discharge or dismissal** · **grossly disproportionate punishment IS reviewable**

SUBSISTENCE ALLOWANCE s.10A **50% for the first 90 DAYS**, then **75%** - **unless the delay is directly attributable to the workman** · *learn it as 50 for 90 then 75* · the rise **pressures the EMPLOYER** to finish · **suspension pending inquiry is NOT a punishment**

DOMESTIC INQUIRY - SIX STEPS charge sheet (specific, with particulars) → **explanation** → **inquiry** (officer not the complainant; workman present, may cross-examine, may lead evidence) → **reasoned findings** on evidence on record → **proportionate punishment** → **appeal/redress**

NATURAL JUSTICE MAPPING audi alteram partem = charge sheet, explanation, cross-examination, reasons · **nemo judex in causa sua** = inquiry officer must not be the complainant

THE SECTION 7A PARALLEL notice specifying period and basis = **charge sheet** · opportunity to reply and produce records = **explanation** · hearing with inspection of material = **inquiry** · **reasoned order showing wages taken, definition applied and computation** = **findings** · **s.7-I appeal to the CGIT as EPF Appellate Tribunal, then Art 226 = redress**

THE SENTENCE TO CARRY hearing the party is **necessary but not sufficient** - **you must also show your working**, because an unreasoned order is **arbitrary under Art 14** and falls to **certiorari**

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F2.4 - STANDING ORDERS AND DISCIPLINE

1946 ACT · 100 OLD / 300 CODE · *the other 100-300 is Chapter VB permission*

SEQUENCE draft **6 months** · objections **15 days** · certify **7 days** · appeal **30 days** · operative **30 days** · no modification **6 months**

FAIRNESS REVIEWABLE SINCE 1956

MODEL SO APPLY UNTIL CERTIFIED · 2026: A MINING · B MANUFACTURING · C SERVICES

BADLI = substitute for a specific absent workman (converts) · **CASUAL** = work itself casual

FIXED-TERM written contract · **full parity, pro rata** · **GRATUITY AT 1 YEAR** · **no retrenchment on expiry**

"HABITUAL" NEEDS A PATTERN - one instance will not do

SUBSISTENCE 50% FOR 90 DAYS, THEN 75% unless the **workman** caused the delay · suspension pending inquiry is **not** punishment

INQUIRY charge sheet → explanation → inquiry → **reasoned findings** → proportionate punishment → appeal

NO PUNISHMENT FOR MISCONDUCT NOT LISTED IN THE STANDING ORDERS

FOR YOUR OWN ORDERS notice with the **basis** · real opportunity · hearing · **REASONS AND**

COMPUTATION · s.7-I appeal → **Art 226** · **hearing alone is not enough - show your working**

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F2.5 - The Wages Group: the Minimum Wages Act 1948, the Payment of Wages Act 1936, the Payment of Bonus Act 1965 and the Equal Remuneration Act 1976, all four consolidated into the **Code on Wages 2019**. It carries the **floor wage**, the bonus band of **8.33 to 20 per cent**, the permitted deductions, and the **Rs 9,000 wage** question the 2023 paper asked - and it applies the 50 per cent wages rule you learned in F2.1 to every calculation.